CareEdge Ratings in a note expected it to be 50 basis points (half a percentage point) for all of 2025. But the decision will hinge on other factors. "We continue to expect a rate cut in February, but we acknowledge that the events leading up to that decision—such as political developments in the US, the February (Union) budget, and the outlook for vegetables over the next two months—will play a critical role in determining the final outcome," says Namrata Mittal, chief economist, SBI Mutual Fund. "From a broader perspective, it seems the fiscal policy has focused primarily on consolidation, while monetary policy has concentrated on managing inflation and ensuring financial stability, with growth concerns taking a back seat. It is now necessary to shift this outlook." That is because, she says, India is supply-side ready, banks have the capacity to expand credit, corporations have the balance sheets to support it, and consumers could potentially take on more debt. "But demand is the missing factor. Policy support is still needed to boost capital expenditure and attract private investment to drive growth," she says.

DEMAND BEING THE MISSING FACTOR, POLICY SUPPORT MUST CONTINUE TO BOOST CAPEX

Although the RBI's primary mandate is to keep the CPI at 4 per cent, considering that inflation is concentrated in a narrow set of products, and nearly 60 per cent of the CPI basket has recorded inflation under 4 per cent for the past year, a flexible inflation targeting regime could start ensuring growth impulses aren't disturbed, she adds. New governor Malhotra has his task cut out. ■

JHARKHAND

A BOLD RESTART

By Amitabh Srivastava

A week can be an eternity in coalition politics. Hemant Soren's seven-day wait between taking oath as Jharkhand's chief minister on November 28 and unveiling his cabinet on December 5 speaks volumes. Yet, the Jharkhand Mukti Morcha (JMM) executive president seems to have embarked on his fourth term with a clear sense of purpose.

ANI



FRESH CHAPTER Soren addressing a gathering outside his residence in Ranchi, Dec. 7

At his inaugural cabinet meeting on December 6, Soren issued a 17-point directive to his newly inducted team of 11 ministers. Chief among this was a strict instruction to scrutinise the backgrounds of personal secretaries and staff, ensuring that "controversial employees do not find a place in the minister's office". This cautionary stance reflects lessons learnt the hard way. In May, the Enforcement Directorate's arrest of Alamgir Alam, then rural development minister, had deepened the shadow already cast over the administration. The scandal erupted when investigators uncovered Rs 35 crore in cash from a flat linked to Alam's personal secretary Sanjiv Lal, and his domestic help Jehangir Alam.

Now, buoyed by a resounding electoral victory—his JMM-led alliance won 56 of the state's 81 assembly seats—Soren is acutely aware of the weight of public trust. He knows the very policies that have endeared him to his tribal and rural constituents, such as the Maiya Samman Yojana, also make him a target of Opposition attacks, particularly on